4. Relatively Inelastic Demand (E_p<1):

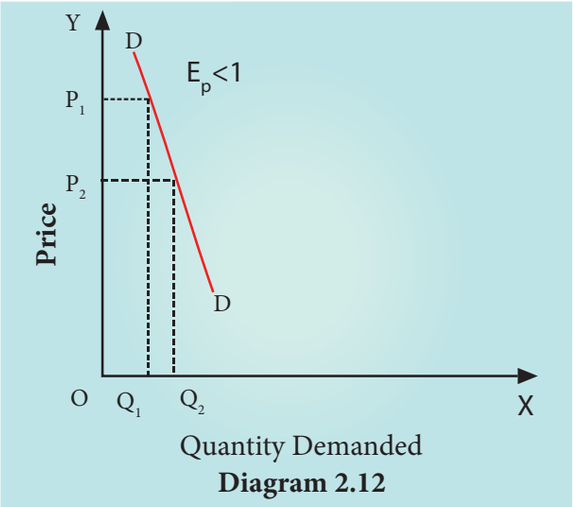


Diagram 2.12

When the proportionate change in the demand for a product is less than the proportionate change in the price, the demand is said to be relatively inelastic. It is also called the elasticity less than unity. Here the demand curve is steeply sloping, which shows that the change in to the quantity from OQ_1 to OQ_2 is relatively smaller than the change in the price from OP_1 to Op_2.

5. Unitary Elastic Demand (Ep =1):

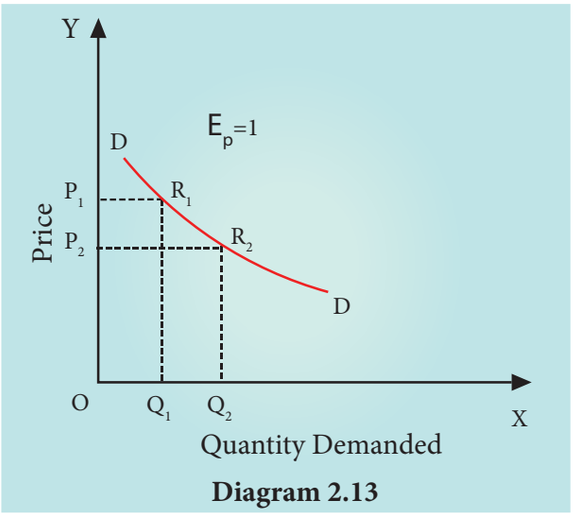


Diagram 2.13

The demand is unitary elastic when the proportionate change in the price of a product results in the same propionate change in the quantity demanded. Here the shape of the demand curve is a rectangular hyperbola, which shows that area under the curve is equal to one.

Here $OP_1\ R_1Q_1 = OP_2\ R_2Q_2$

or simply $P_1\ P_2 = Q_1\ Q_{2\ =}\ R_1\ P_2$

Table 2.5 Degrees of Price Elasticity of Demand

Numerical Value	*Terminology*	*Description*	*Shape of the Demand curve*
$e_p = \infty$	Perfectly elastic	Change in demand is infinite at a given price	Horizontal
$e_p = 0$	Perfectly inelastic	Demand remains unchanged whatever be the change in price	Vertical
$e_p = 1$	Unitary elastic	$\%\Delta Q = \%\Delta P$	Rectangular Hyperbola
$0 < e_p < 1$	Inelastic	$\%\Delta Q < \%\Delta P$	Steeper
$\infty > e_p > 1$	Elastic	$\%\Delta Q > \%\Delta P$	Flatter

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